

AI Startup Valuation Stack

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Team, data, traction, defensibility

PROFESSIONAL DEFINITION

The AI Startup Valuation Stack identifies what an AI-first company is actually valued on — team, proprietary data, traction and defensibility — beyond headline revenue multiples.

WHO DEVELOPED IT

A synthesis from venture-valuation practice applied to AI-first companies.

WHY IT WAS DEVELOPED

It was developed to look past revenue multiples to the strategic assets that justify and sustain an AI venture's valuation.

FIGURE 1 · AI STARTUP VALUATION STACK

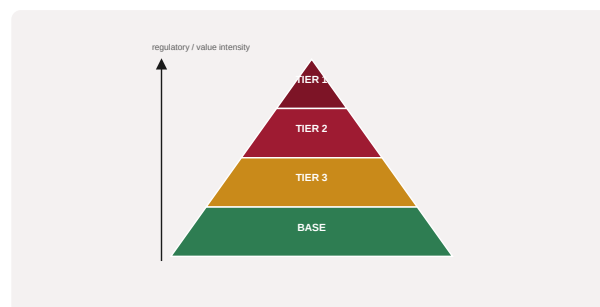


Figure 1. A schematic of the AI Startup Valuation Stack as applied in BARBM312 (illustrative).

HOW IT IS USED

The company is assessed layer by layer; weak layers (e.g. no defensibility) flag valuation risk despite strong revenue.

WHEN IT IS USED

During fundraising, investment due diligence and valuation.

BY WHOM IT IS USED

Founders, investors and corporate-development teams.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It grounds AI valuation in durable strategic assets rather than growth alone, exposing fragile high-valuation companies.

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SOURCES (HARVARD REFERENCING STYLE)

Damodaran, A. (2018) The Dark Side of Valuation. 3rd edn. Upper Saddle River: Pearson.

Gornall, W. and Strebulaev, I.A. (2020) 'Squaring venture capital valuations with reality', Journal of Financial Economics, 135(1).